

Pearson Edexcel

Level 3 GCE

Practice Paper (Advanced Level)

(Time: 1 hour 30 minutes)

Paper Reference: 8EB0/02 (Practice)

Economics B

Advanced Subsidiary

Paper 2: The wider economic environment

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided - *there may be more space than you need.*

Information

- The total mark for this paper is **80**.
- The marks for **each** question are shown in brackets - *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A and B) before answering Question 1.

Write your answers in the spaces provided.

Extract A

UK streaming market faces growing pressures

The UK streaming services industry has experienced rapid growth over the past decade, with platforms such as Netflix, Disney+ and Amazon Prime Video transforming how households consume entertainment. However, recent figures suggest that the industry is now entering a more challenging phase.

A report by Ofcom indicates that growth in subscriber numbers has slowed considerably, partly due to falling real disposable incomes and increased competition for consumer spending. The cost-of-living crisis has led many UK households to reassess discretionary spending, with subscription services among the first to be cut.

Economic factors continue to challenge the streaming sector. The annual percentage change in average nominal earnings was 5.94% in October 2023, while UK inflation stood at 4.62% in the same month. Although real earnings are now rising slightly, the long period of declining real wages has eroded consumer confidence and reduced household spending power.

Workforce shortages in the creative industries have added to cost pressures. Demand for skilled writers, producers and technical staff has driven up wage costs, while the post-Brexit immigration system has made it more difficult to recruit talent from the European Union. As a result, the cost of producing original UK content has risen by approximately 18% over the past two years.

Streaming platforms have responded by introducing cheaper, advertising-supported tiers and by cracking down on password sharing. Despite these measures, several analysts have warned that the streaming sector may have reached saturation in the UK market.

Helena Marsh, a media analyst at Enders Analysis, said: "The era of rapid expansion in UK streaming subscriptions is over. Aggregate demand for entertainment services has weakened, and the platforms that will thrive are those that can demonstrate clear value to consumers in a tougher economic environment."

(Source: adapted from industry analysis, 2023)

Extract B

UK labour market statistics: October 2023

Labour force	34,206,000
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Unemployed	1,403,000
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(Source: adapted from Office for National Statistics, 2023)

1 (a) What is meant by the term 'aggregate demand'? **(2)**

(b) Using Extract B, calculate, to 2 decimal places, the rate of unemployment for the UK in October 2023. **(4)**

(c) Using Extract A, calculate, to 2 decimal places, the change in real earnings for October 2023. **(4)**

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This image shows a full page of blank, lined paper. It features approximately 20 evenly spaced horizontal grey lines across its entire width, providing a template for handwriting practice or general note-taking. The margins are consistent on all sides.

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(Total for Question 1 = 30 marks)

TOTAL FOR SECTION A = 30 MARKS

SECTION B

Read the following extracts (C, D and E) before answering Question 2.

Write your answers in the spaces provided.

Extract C

BrewDog's craft beer ambitions face market reality

BrewDog, the Scottish craft beer firm founded in 2007 by James Watt and Martin Dickie, has grown from a small operation in Aberdeenshire into one of the largest craft brewers in the world. The company now operates more than 100 bars globally and exports its flagship Punk IPA to over 60 countries.

However, BrewDog is facing increasing competition in the crowded craft beer market. UK sales of craft beer rose by just 3.2% in 2023, compared to growth of over 25% per year in the early 2010s. Many analysts believe that the craft beer market has matured, with the original product life cycle reaching the saturation stage.

Younger consumers, in particular Generation Z, are drinking less alcohol than previous generations. This is partly due to health concerns and partly due to changing attitudes towards alcohol consumption. In response, BrewDog has launched several alcohol-free alternatives, marketed under the 'Punk AF' brand.

BrewDog has also invested heavily in production capacity. Its main brewery in Ellon, Scotland, was expanded in 2021 at a cost of £30 million. The site can now produce up to 800,000 hectolitres of beer per year, making it one of the largest craft breweries in Europe.

A typical four-pack of Punk IPA retails for £6.00 in UK supermarkets, compared with £4.50 for many mainstream lager brands and £3.50 for supermarket own-brand alternatives. BrewDog has positioned itself as a premium niche brand, emphasising the quality of its ingredients and brewing process.

(Source: adapted from industry sources, 2023)

Extract D

BrewDog struggles to meet demand for new product launch

BrewDog has been forced to temporarily suspend the launch of its new low-calorie 'Lost Lager Light' product, after demand outstripped the company's ability to supply UK supermarkets. The Ellon brewery is reported to be running at 105% of normal capacity, with workers being asked to take on additional shifts to meet orders.

Industry sources suggest that BrewDog is now considering outsourcing part of its production to third-party contract brewers, in order to meet rising demand. However, this could compromise quality control and the brand's positioning as an authentic craft beer.

A BrewDog spokesperson said: "We are committed to maintaining our high-quality standards, but we recognise that over-utilisation of our existing capacity is not sustainable in the long term."

(Source: adapted from industry analysis, 2023)

Extract E

BrewDog discounts new range to attract supermarket shoppers

BrewDog has announced significant introductory discounts on its new range of premium craft lagers, which will be sold exclusively through major UK supermarkets. The new range, branded 'BrewDog Originals', will be offered at an introductory price of £4.50 per four-pack, compared with the planned full retail price of £6.50.

The 20% discount will be available for the first eight weeks of the launch. The company is hoping to use penetration pricing to challenge mainstream lager brands such as Stella Artois and Heineken in the UK supermarket sector.

(Source: adapted from press release, 2023)

2 (a) What is meant by the term 'niche market'? **(2)**

BrewDog has decreased the price of one of its beer ranges by 8%. This led to a 14% increase in sales.

(b) Calculate the price elasticity of demand (PED) for this beer range. You are advised to show your working. **(4)**

(c) Explain one possible benefit for BrewDog of charging a premium price. **(4)**

(d) Discuss the implications of over-utilisation of capacity for BrewDog. **(8)**

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(Total for Question 2 = 30 marks)

TOTAL FOR SECTION B = 30 MARKS

SECTION C

Read the following extract (F) before answering Question 3.

Write your answer in the space provided.

Extract F

Rising inequality in the UK sparks debate over economic priorities

A recent report from the Resolution Foundation has highlighted that income inequality in the UK has reached its highest level for over a decade. The richest 10% of households now hold approximately 43% of total household wealth, while the poorest 50% hold just 9%.

The report argues that rapid economic growth over the past 30 years has disproportionately benefited high earners, while real wages for middle- and low-income workers have stagnated. Some economists argue that this is the inevitable consequence of an economy that prioritises growth above other objectives.

Critics of UK government policy claim that the pursuit of economic growth has come at the cost of fairness. They point to the housing market, where rising property prices have widened the gap between homeowners and renters, and to the labour market, where workers in low-paid sectors have seen little improvement in their living standards.

Supporters of growth-orientated policy argue that economic growth remains the most effective way of raising living standards for all. They claim that without strong GDP growth, the government cannot fund public services such as the NHS, education and welfare support. They also note that the UK has a progressive tax system designed to redistribute wealth and reduce inequality.

However, others argue that growth alone is not sufficient. The UK economy has expanded significantly since 2010, but median real wages have barely risen. Without targeted policies to address inequality, the benefits of growth may continue to flow disproportionately to those who are already well-off.

The current debate has implications for fiscal policy. Some economists argue for higher taxes on wealth and capital gains, alongside increased spending on education and infrastructure in deprived areas. Others warn that such measures could reduce incentives to work, save and invest, ultimately harming economic growth.

(Source: adapted from economic press, 2023)

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(Total for Question 3 = 20 marks)

TOTAL FOR SECTION C = 20 MARKS

TOTAL FOR PAPER = 80 MARKS